- Some schemes were ‘assured return schemes’: they made promises about the returns that would be obtained, but lacked the financial engineering backing up these assurances. The sustained difficulties of the macroeconomy from July 1997 (the Thai crisis) onward led to weak asset prices, and put these assurances under threat.
- In a scheme named ‘US-64’, the claimed ‘net asset value (NAV)’ was overstated. Unsophisticated households discovered that they had actually made losses, when the true NAV was revealed.

When these problems were revealed, this induced a crisis. This was solved through a three-pronged strategy.

Finance Minister Yashwant Sinha decided that fiscal resources would be used to bear half the losses experienced by unsophisticated households. This struck a balance between the unhappiness of households, who felt betrayed by a government organization, versus the fiscal dangers of taking on unlimited liability associated with public sector financial firms.

Finance Secretary S. Narayan and governor of the RBI Bimal Jalan designed the resolution strategy for UTI. This is the work which would ordinarily have been done by the resolution corporation, but this institution did not exist. The NAV-based schemes of UTI were placed in a ‘good UTI’, and the remainder were placed in a ‘bad UTI’ which was gradually wound down.

To preserve credibility in the eyes of the market, every use of public money must be accompanied by structural reform. The commitment to building a mature market economy was underlined by repealing the erstwhile UTI Act, converting the ‘good UTI’ into an ordinary company under the Companies Act, partially privatizing it, and placing it unambiguously under the normal regulatory regime of SEBI for mutual funds.

When the crisis started, traditional thinkers in the Indian policy process were asking for a complete fiscal bailout for unsophisticated households, and a continuation of UTI in its old ways, with incremental reforms (shift US-64 to a true NAV-based system, use financial derivatives for